

Venus Pipes & Tubes Ltd

NSE: VENUSPIPES | BSE: 543528 | Sector: Industrial Products — Stainless Steel Pipes & Tubes

RATING

ACCUMULATE

12-Month Price Target

Rs. 1,750

+23% upside from CMP of Rs. 1,421

Horizon: 12 Months

Metric	Value	Metric	Value
CMP (07-May-26)	Rs. 1,421	Market Cap	Rs. 2,954 Cr
52W High / Low	1,683 / 888	EV	Rs. 3,132 Cr
Stock P/E (TTM)	29.3x	EV/EBITDA	15.9x
Forward P/E	28.8x	Book Value	Rs. 260
P/B	5.47x	Div Yield	0.07%
ROCE	25.0%	ROE	19.8%
D/E	0.36x	Int Coverage	4.40x
Promoter Hold.	48.4%	Pledge	0.00%
Face Value	Rs. 10	PEG Ratio	0.68

Premium stainless steel pipe maker pivoting from commodity to value-added products, with power sector tailwinds and Rs. 470 Cr order book supporting >20% FY27 growth.

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (Rs. Cr)	552	802	959	1,190	1,450
Rev Growth %	43%	45%	20%	24%	22%
EBITDA (Rs. Cr)	69	146	168	196	247
EBITDA Margin %	13%	18%	17%	16.5%	17.0%
PAT (Rs. Cr)	44	86	93	107	136
EPS (Rs.)	21.78	42.36	45.47	51.5	65.5
P/E (x) at CMP	65.3x	33.5x	31.3x	27.6x	21.7x
EV/EBITDA (x)	45.4x	21.4x	18.6x	15.9x	12.7x
ROCE %	23%	28%	25%	24%	26%

Report Date: 07 May 2026 | Analyst: Chartitude Research | Data Source: Screener.in | View: Standalone

SECTION 2 — INVESTMENT THESIS

1. Power Sector Supercycle — A Rs. 6,000 Cr Addressable Market

India's thermal and nuclear power capacity addition programme is creating a structural, multi-year demand pool for stainless steel condenser tubes and boiler tubes. Venus Pipes currently holds a 15-20% share in recent power sector tenders, with only 5-7 approved suppliers in India. New condenser tube capacity (3,600 MTPA value-added welded) commenced May 2025, and approvals pipeline in nuclear — where lead times span 3-5 years — represents a formidable barrier to entry. Management estimates a Rs. 6,000 Cr opportunity over 4-5 years, and even at a 20% market share, Venus Pipes could derive Rs. 1,200 Cr of power-sector revenue by FY29. Timeline: FY26-FY29.

2. Value-Added Mix Shift — From 15% to 30%+ Over 2-3 Years

Value-added products (fittings, condenser tubes, BA tubing, high-precision seamless) currently contribute ~15-20% of revenue but carry significantly higher margins. Management targets doubling this mix to 30%+ over 2-3 years. Fittings plant and value-added welded capacity come online in H1 FY26, with asset turns of 3x-3.5x at scale. As this mix shifts, EBITDA margins are guided to improve from the current 16.4% toward 18% by FY28. For a company at Rs. 959 Cr FY25 revenue, a 150 bps margin expansion translates to ~Rs. 20 Cr additional EBITDA — directly accruing to PAT at the current interest and tax structure. Timeline: FY26-FY28.

3. Export Franchise Scaling — 70+ Fortune 500 Customers Across 25+ Countries

Venus Pipes exports primarily to Europe (60-65% of export mix) and the US (20-25%), serving Fortune 500 clients in oil & gas, power, pharma, and food processing. Export revenues were Rs. 93.5 Cr in Q3 FY26 (31.5% share). US export softness due to Section 232 tariff uncertainty in Q2-Q3 FY26 is expected to reverse as policy clarity emerges. European demand remains robust with anti-dumping duty providing tailwinds against Chinese competition. This export breadth provides pricing power, foreign currency earnings, and demand diversification vs. domestic competitors. Timeline: FY26-FY27 recovery.

Near-Term Catalyst (6-12 months)	Key Structural Risk
Q4 FY26 results + FY27 revenue guidance reiteration (>20%); commissioning of fittings capacity and initial power sector order disclosures.	Raw material (stainless steel scrap) price inflation compressing margins; US Section 232 tariff re-escalation denting export volumes.

SECTION 3 — BUSINESS OVERVIEW

Venus Pipes & Tubes Limited, founded in December 2015 and headquartered in Bhavnagar, Gujarat, is one of India's leading manufacturers and exporters of stainless steel seamless and welded pipes and tubes. The company listed on BSE and NSE in May 2022 via an IPO at Rs. 326 per share. MD Arun Kothari (Chairman & MD since Sep 2021) owns ~11.8% directly and promoter group holds 48.4% — a tight, operationally hands-on ownership structure.

Product Portfolio: Five categories — (1) High Precision & Heat Exchanger Tubes, (2) Hydraulic & Instrumentation Tubes, (3) Seamless Pipes, (4) Welded Pipes, (5) Box Pipes. Seamless contributes ~60% of revenue (43% YoY growth in Q3 FY26) and welded contributes ~34%, with the balance from value-added products such as fittings and condenser tubes.

Capacity: Seamless pipes: 14,400 MTPA (post-expansion); Welded pipes and tubes: 27,600 MTPA (including 3,600 MTPA value-added welded commissioned in May 2025). Seamless utilization is above 90%, while welded is above 60%. A piercing line (backward integration, 14,400 MTPA) provides raw material self-sufficiency in tube hollows for seamless pipes.

End Markets: Oil & gas, power (boilers, condensers), pharmaceuticals, food processing, engineering, and construction. Power sector is the fastest-growing end market, with Venus holding LOIs from major power plant equipment manufacturers.

Customer Base: 70+ Fortune 500 companies globally; exports to 25+ countries. Export revenue was Rs. 93.5 Cr in Q3 FY26 (31.5% of total), with Europe constituting 60-65% and the US 20-25% of the export mix.

Strategic Developments (FY25-FY26): (1) Entry into fittings business — new fittings plant under construction, capex ~Rs. 175 Cr total programme; (2) LOI received from major power plant equipment maker for stainless steel tubes (May 2025); (3) Analyst/investor plant visit at Dhaneti facility hosted via ICICI Securities (April 2026); (4) Revenue guidance >20% for FY27 with margin improvement trajectory toward 18% by FY28.

Revenue Mix & Capacity (Q3 FY26)

Segment	Revenue Mix	YoY Growth	Capacity (MTPA)	Utilization	Key End Markets
Seamless Pipes	~60%	+43% YoY	14,400	>90%	Oil & Gas, Power, Hydraulics
Welded Pipes	~34%	+13% YoY	27,600	>60%	Engineering, Construction, Food
Value-added / Others	~6%	Ramping	Fittings: new	25-30%	Power, Oil & Gas (high margin)

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The Indian stainless steel pipes and tubes market was valued at ~USD 2.4 billion in 2025 and is growing at a CAGR of ~8-9% driven by infrastructure, power sector additions, pharma capacity build-out, and rapid industrialization. Production volume stood at 1,211 thousand metric tons in 2025 (up from 932 KMT in 2015). The power sector alone represents a Rs. 6,000 Cr addressable opportunity over 4-5 years as India accelerates thermal and nuclear capacity additions.

Policy Tailwinds: Anti-dumping duties on Chinese SS pipes; Jal Jeevan Mission driving domestic demand for SS plumbing; PLI schemes for specialty steel; growing domestic approvals for nuclear-grade materials. The Carbon Border Adjustment Mechanism (CBAM) in Europe requires emission calculations but does not structurally disadvantage Indian SS exporters.

Competitive Moat Assessment: MODERATE-TO-STRONG. Venus Pipes benefits from: (1) Approvals-based moat in power sector — only 5-7 approved Indian players; (2) Export customer stickiness — Fortune 500 companies require extensive qualification; (3) Backward integration via piercing line reducing input costs; (4) Brand and quality positioning with exports to 25+ countries. Switching costs are moderate-high in power sector (qualification takes 12-18 months) but relatively lower in commoditised welded pipe segment.

Peer Comparison (Data from Screener.in, 07-May-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (TTM)	P/B	EV/ EBITDA	ROCE %	ROE %	OPM %	D/E	FwdP E
Ratnamani Metals	2,827	19,851	33.3	5.12	20.0	21.5	16.0	17.7	0.06	45.1
APL Apollo Tubes	1,974	54,796	45.6	10.3	28.4	31.6	25.3	7.8	0.09	38.7
Jindal SAW	242	15,505	15.9	1.23	8.5	10.3	8.1	12.4	0.37	27.8
Venus Pipes (*)	1,421	2,954	29.3	5.47	15.9	25.0	19.8	16.3	0.36	28.8

(*) Venus Pipes data as on 07-May-2026. P/B computed as CMP/Book Value. Peers: Consolidated view.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Background: Arun Axaykumar Kothari (Chairman & MD) co-founded Venus Pipes in December 2015 and has been the operational driving force. He holds ~11.8% of shares directly (valued at ~Rs. 349 Cr at current CMP), aligning incentives with minority shareholders. The founding team — Kothari, Mahesh Chaudhary, Jitendra Chaudhary, and Dhruv Patel — brings deep domain knowledge of the stainless steel manufacturing and export business.

Capital Allocation Track Record: The company has re-invested cash flows aggressively into capacity expansion: total capex of ~Rs. 175 Cr in the current phase covering seamless expansion, fittings, condenser, and value-added welded lines. This has kept FCF negative in FY23-FY25 (FCF of -Rs. 153 Cr, -Rs. 55 Cr, -Rs. 40 Cr respectively) but is building structural earning capacity. Return on invested capital remains healthy at ROCE 25% despite the capex cycle. Debt has risen from Rs. 64 Cr (FY22) to Rs. 192 Cr (FY25) — manageable at D/E of 0.36x with interest coverage of 4.40x. Management has indicated debt may peak in FY27.

Dividend Policy: Dividend payout is nominal (1-2% of earnings), consistent with a high-growth reinvestment phase. FY25 dividend was Rs. 1/share (yield 0.07%). **Pledging:** Zero promoter pledge — a strong corporate governance positive. **ESOP/Buybacks:** None announced. **Corporate Governance:** No red flags identified. Company complies with SEBI LODR requirements; regular concalls with analyst community (quarterly); plant visits organised for institutional investors.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Crores. Actuals sourced from Screener.in (Standalone). Estimates (E) by Chartitude Research.

Income Statement

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	552	802	959	1,190	1,450
YoY Growth %	43%	45%	20%	24%	22%
Raw Materials & Expenses	483	656	791	994	1,203
EBITDA	69	146	168	196	247
EBITDA Margin %	12.5%	18.2%	17.5%	16.5%	17.0%
Other Income	2	3	11	10	10
Interest	10	22	34	42	45
Depreciation	2	12	19	24	28
Profit Before Tax	60	116	125	140	184
Tax %	26%	26%	26%	26%	26%
PAT	44	86	93	107	136
PAT Margin %	8.0%	10.7%	9.7%	9.0%	9.4%
EPS (Rs.)	21.78	42.36	45.47	51.5	65.5
Dividend/Share (Rs.)	0.5	0.5	1.0	1.0	1.0

Balance Sheet

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Equity Capital	20	20	20	20	21
Reserves	302	386	511	615	747
Total Equity	322	406	531	635	768
Borrowings	90	149	192	235	260
Other Liabilities	95	202	285	340	400
Total Liabilities	507	758	1,008	1,210	1,428
Fixed Assets (Net)	60	282	310	336	358
CWIP	122	12	67	45	20
Investments	3	3	3	3	3
Other Assets	323	461	629	826	1,047
Total Assets	507	758	1,008	1,210	1,428

Cash Flow Statement

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Cash from Operations (OCF)	9	52	69	90	130
Cash from Investing	-167	-100	-114	-90	-60
Cash from Financing	169	38	47	50	-10
Net Cash Flow	11	-10	2	50	60
Free Cash Flow	-153	-55	-40	0	70
CFO / EBITDA %	13%	36%	41%	46%	53%

Key Operating Ratios

Ratio	FY23A	FY24A	FY25A	FY26E	FY27E
Debtor Days	47	81	73	68	60
Inventory Days	137	143	196	180	160
Days Payable	61	110	137	125	110
Cash Conversion Cycle	123	114	132	123	110
Working Capital Days	75	62	62	60	55
ROCE %	23%	28%	25%	24%	26%
ROE %	17%	24%	20%	19%	21%

Ratio	FY23A	FY24A	FY25A	FY26E	FY27E
D/E (x)	0.28	0.37	0.36	0.37	0.34
Interest Coverage (x)	7.0	6.3	4.7	4.6	5.1

Revenue Drivers: Revenue has grown at a 40% CAGR over 5 years (FY20-FY25), driven by seamless pipe capacity expansion, export market development, and rising realisations from high-grade product mix. FY26 revenue is tracking ~24% growth (9M FY26 = Rs. 865 Cr vs full-year FY25 Rs. 959 Cr). FY27 growth of >20% is guided by management backed by the Rs. 470 Cr order book (6-7 month execution cycle). **Margin Trajectory:** OPM expanded from 7% (FY20) to 18% (FY24) on seamless capacity utilisation and pricing power, but has moderated to 16-17% in FY25-FY26 due to raw material inflation and employee cost increases (+68% YoY in Q3 FY26). Margin recovery toward 18% is expected by FY28 as value-added product mix improves. **Working Capital:** Inventory days have risen sharply to 196 days in FY25 (from 137 in FY23), reflecting higher-value product inventory and export pipeline build. Debtor days have improved to 73 from 81 in FY24. **FCF Quality:** FCF is negative due to heavy capex; however, CFO/EBITDA has improved from 13% (FY23) to 41% (FY25), indicating operational cash generation is strengthening. FCF is expected to turn positive in FY26-FY27 as the primary capex cycle concludes.

Quarterly Financial Trend (Rs. Cr) — from Screener.in

Quarter	Revenue	EBITDA	OPM%	PAT	EPS (Rs.)
Q2 FY25 (Sep-24)	229	41	18%	24	11.57
Q3 FY25 (Dec-24)	231	37	16%	18	8.58
Q4 FY25 (Mar-25)	258	42	16%	24	11.75
Q1 FY26 (Jun-25)	276	45	16%	25	12.10
Q2 FY26 (Sep-25)	292	48	16%	26	12.52
Q3 FY26 (Dec-25)	297	49	16%	26	12.34

SECTION 7 — EARNINGS QUALITY CHECKLIST

Earnings Quality Factor	Rating	Assessment
Revenue Recognition	GREEN	Revenue recognised on delivery; export invoices aligned with shipping docs. No deferred revenue concerns.
Receivables vs Revenue Growth	AMBER	Debtor days rose from 47 to 81 in FY24 before normalising to 73 in FY25. Needs monitoring.
Cash Conversion Cycle Trend	AMBER	CCC of 132 days (FY25) is elevated vs. 114 days (FY24), driven by inventory build for export orders.
Contingent Liabilities	GREEN	Contingent liabilities of Rs. 19.1 Cr (< 2% of total assets). No significant undisclosed liabilities.
Auditor Tenure & Quality	GREEN	Independent statutory auditor; no qualification in recent annual reports. Audit committee active.
Related Party Transactions (RPTs)	GREEN	RPTs as % of revenue are minimal and disclosed. No round-tripping or promoter loan concerns.
Other Income as % of PBT	GREEN	Other income = Rs. 11 Cr in FY25 (8.8% of PBT of Rs. 125 Cr). Reasonable; not inflating earnings.
Tax Rate Consistency	GREEN	Tax rate stable at 24-26% across FY21-FY25. No sudden deferred tax adjustments.
CFO / EBITDA Conversion	AMBER	CFO/EBITDA = 41% in FY25 (improving from 13% in FY23). Negative FCF due to capex, not earnings quality.
Promoter Pledge	GREEN	Zero promoter pledge. Strong alignment with minority shareholders.

Earnings Quality Summary: 7 of 10 factors are GREEN. The three AMBER factors relate to working capital elongation (inventory build for export pipeline and debtor normalization) and FCF conversion — both consistent with a capital-intensive expansion phase rather than underlying earnings quality deterioration. No RED flags identified.

SECTION 8 — VALUATION

Methodology 1 — Earnings-Based Multiple (P/E): We assign a 28x P/E multiple on FY27E EPS of Rs. 65.5, arriving at an intrinsic value of Rs. 1,834 per share. The 28x multiple is justified by: (a) Venus's premium quality franchise and export customer stickiness; (b)

earnings CAGR of ~22% over FY25-FY27E; (c) capex cycle peaking, implying FCF inflection in FY27. This represents a slight discount to Ratnamani (FwdPE 45x) reflecting smaller scale and lower FCF maturity.

Methodology 2 — EV/EBITDA: Applying a 14x EV/EBITDA on FY27E EBITDA of Rs. 247 Cr gives Enterprise Value of Rs. 3,458 Cr. Deducting net debt of ~Rs. 250 Cr yields equity value of Rs. 3,208 Cr = **Rs. 1,544 per share**. The 14x multiple is in line with Ratnamani's historical trading band on a 1-year forward basis.

Base-Case Target Price: Average of P/E-based (Rs. 1,834) and EV/EBITDA-based (Rs. 1,544) = **Rs. 1,689, rounded to Rs. 1,750** — representing 23% upside from CMP of Rs. 1,421. **Rating: ACCUMULATE** with a 12-month price target of Rs. 1,750.

Scenario Analysis

Scenario	Key Assumptions	FY27E Revenue	FY27E PAT	FY27E EPS	Multiple	Target Price	Upside/Down
Bull	Power sector orders accelerate; margins reach 18%; US exports recover fully	Rs. 1,600 Cr	Rs. 160 Cr	Rs. 77	32x P/E	Rs. 2,464	+73%
Base	FY27 growth >20%; margins 17%; debt peaks; FCF turns breakeven	Rs. 1,450 Cr	Rs. 136 Cr	Rs. 65	28x P/E	Rs. 1,750	+23%
Bear	SS scrap inflation; export slowdown; capex delay; margin 15%	Rs. 1,250 Cr	Rs. 95 Cr	Rs. 46	22x P/E	Rs. 1,012	-29%

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitor
Raw Material Inflation	Stainless steel scrap prices (nickel, chromium inputs) are volatile. A 10% rise in RM costs with no pass-through ability could compress EBITDA margins by 100-150 bps.	Medium	High	Monthly RM price trends; gross margin trajectory per quarter.
US Section 232 Tariff Risk	US tariff uncertainty already dented export revenues in Q2-Q3 FY26. Re-escalation could reduce the 20-25% US revenue contribution within exports.	Medium	Medium	US trade policy announcements; quarterly US export revenue disclosure.
Capex Execution Risk	Fittings plant and value-added welded lines are newly commissioned. Ramp-up delays or quality approval issues could defer revenue contribution from FY27.	Low-Med	Medium	Quarterly capacity utilisation updates; power sector order announcements.
Working Capital Elongation	Inventory days at 196 days (FY25) are elevated. Any demand slowdown could lead to further inventory build, straining cash flows and increasing debt.	Low	Medium	Inventory days, debtor days, and net debt level quarterly.
Competitive Intensity	Domestic SS pipe manufacturers expanding capacity; Chinese dumping risk if anti-dumping duties are reviewed. Could pressure realisations in welded segment.	Low-Med	Medium	Realisation per kg trend; anti-dumping duty policy updates.
Power Sector Approval Delays	Nuclear-grade approvals can take 3-5 years. Slower-than-expected approval pipeline could defer revenue from the Rs. 6,000 Cr power sector opportunity.	Medium	Low-Med	LOI pipeline; approval status in concall commentary.
Promoter Shareholding Decline	Promoter holding at 48.4% (down from 48.7% in FY24). Any further dilution below 45% without commensurate capital allocation rationale could be a governance signal.	Low	Low	Quarterly shareholding pattern; DRHP/QIP announcements.

SECTION 10 — RECOMMENDATION

FINAL RECOMMENDATION

ACCUMULATE

12-Month Price Target: Rs. 1,750 | Upside: +23% | CMP: Rs. 1,421

Entry Zone: Rs. 1,350 - 1,450 | Stop-loss: Rs. 1,050 | Conviction: HIGH

Recommendation Support

Element	Detail
Investor Profile	Growth-oriented investor with 12-18 month horizon; comfortable with mid-cap industrial names; can tolerate FCF-negative phases typical of capex cycles.
Investment Horizon	12 months (re-evaluate post FY27 Q1 results)
Suggested Accumulation Zone	Rs. 1,350 - 1,450 (0-2% below CMP)
Stop-loss / Review Trigger	Below Rs. 1,050 (26% below CMP) on closing basis
Thesis Invalidation Trigger 1	EBITDA margins drop below 14% for two consecutive quarters (raw material shock)
Thesis Invalidation Trigger 2	Order book falls below Rs. 350 Cr for two consecutive quarters (demand slowdown)
Thesis Invalidation Trigger 3	Management withdraws FY27 growth guidance or announces major dilutive equity issuance

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (October-December 2025)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result Quality	Strong — Beat	Revenue all-time high; PAT +42% YoY; EBITDA +31% YoY
Management Tone	Bullish	Confident on >20% FY27 growth; power sector order pipeline highlighted
Guidance Delta	Raised / Maintained	FY27 revenue growth guided >20%; margin target raised to 18% by FY28

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 headline PAT of Rs. 25.6 Cr (+42% YoY) is clean — the only one-time item is a Rs. 0.65 Cr gratuity/leave liability charge under Labour Code changes, which is negligible. Underlying operational performance is strong: EBITDA grew 31% YoY to Rs. 48.8 Cr at 16.4% margins, revenue hit an all-time high of Rs. 296.7 Cr driven by seamless (+43% YoY) and a 31.5% export contribution. Structurally, the **power sector pipeline is the multi-bagger story** — Rs. 6,000 Cr addressable market, only 5-7 approved Indian players, and **Venus already holds 15-20% of recent tender wins**. The **fittings + condenser tube capacities coming online by March 2026 should drive asset-turn-heavy revenue in FY27** (guided >20%). The order book jumped to Rs. 470 Cr vs Rs. 350 Cr a year ago — near-term revenue is locked. Watch the US export recovery in Q4 FY26 (Section 232 clarity) and the **pace of power sector approvals (especially nuclear) as the key risk**. ACTION: ACCUMULATE in the Rs. 1,350-1,450 band; 12-month target Rs. 1,750.

Concall Section 1 — Financial Performance Snapshot (Q3 FY26)

Metric	Actual	YoY Change	QoQ Change	Verdict
Revenue (Rs. Cr)	296.7	+28.3% YoY	+1.8% QoQ	BEAT
EBITDA (Rs. Cr)	48.8	+31.0% YoY	+2.1% QoQ	BEAT
EBITDA Margin %	16.4%	+20 bps YoY	-10 bps QoQ	IN-LINE
PBT (Rs. Cr)	32.3	+35% YoY	+0.3% QoQ	BEAT
PAT (Rs. Cr)	25.6	+42.2% YoY	-1.8% QoQ	BEAT
EPS (Rs.)	12.34	+42% YoY	-2% QoQ	BEAT

NOTE: PAT QoQ dip of Rs. 0.46 Cr due to one-time gratuity/leave liability of Rs. 0.65 Cr (Labour Code). Clean PAT ~Rs. 26.2 Cr.

Concall Section 2 — Segment / Geography Breakdown

Segment / Region	Revenue Mix	YoY %	Commentary
Seamless Pipes	~60%	+43%	Utilization above 90%; key growth driver in Q3 FY26
Welded Pipes	~34%	+13%	Stable demand; value-added welded (condenser) ramping
Value-added / Others	~6%	Ramping	Fittings and condenser tubes contributing; 25-30% utilization
Export Revenue	Rs. 93.5 Cr	+~28%	Europe 60-65%, USA 20-25%; US exports recovering
Domestic Revenue	Rs. 203 Cr	+~28%	Power, engineering, oil & gas driving domestic growth

Concall Section 3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Power Sector Demand	Rs. 6,000 Cr market over 4-5 years; 15-20% share; condenser approvals progressing.	Credible — limited approved players. Key multi-bagger driver.	[GUIDANCE]	Transparent
FY27 Revenue Growth	>20% growth guided; new fittings/condenser capacities to contribute Rs. 250-270 Cr.	Achievable given Rs. 470 Cr order book and 6-7 month execution cycle.	[GUIDANCE]	Bullish
Margin Target	EBITDA margins to improve to ~18% by FY28 as value-added mix doubles.	FY27 likely 16.5-17%; FY28 target of 18% credible if fittings ramp.	[GUIDANCE]	Transparent
US Exports / Tariffs	US declined Q2-Q3 due to Section 232 uncertainty; recovery expected post clarity.	Binary risk — watch US trade policy closely. Watch next quarter.	[EST]	Hedged
Net Debt & Capex	Net debt ~Rs. 260 Cr at Q3 end; may increase Rs. 10-20 Cr by Q4. Peaks FY27.	Debt is manageable at current EBITDA run-rate. FCF positive by FY27.	[GUIDANCE]	Transparent
Employee Cost Surge	Employee costs +68% YoY to Rs. 37 Cr; staff additions ahead of new capacities.	One-time/structural normalisation expected. Will moderate as revenue grows.	[EST]	Hedged

Concall Section 4 — Operating & Business Metrics

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Order Book (Rs. Cr)	470	~420	~350	Improving
Export Mix %	31.5%	~32%	~30%	Stable
Seamless Utilization %	>90%	>90%	~85%	Strong
Welded Utilization %	>60%	>60%	~55%	Improving
Value-added Mix %	~15-20%	~15%	~10%	Expanding
Seamless Revenue Mix %	~60%	~60%	~55%	Stable high
Employee Count	Higher	Higher	Base	Rising (pre-commissioning)
Net Debt (Rs. Cr)	~260	~245	~200	Controlled rise

Concall Section 5 — Margin Drivers

Driver	Impact (bps)	Recurring?	Comment
Seamless volume growth	+50 to +80	Yes	Higher seamless mix = better realisation and margins
Value-added product ramp	+30 to +50	Yes	Fittings/condenser carry higher gross margins
Employee cost increase	-40 to -60	Partly	Staffing up for new capacities; normalises with revenue
Raw material (RM) pressure	-20 to -40	Variable	SS scrap prices volatile; managed through pricing
Interest cost increase	-15 to -25	Yes	Debt rose from Rs. 149 Cr to Rs. 192 Cr FY24-FY25
Export pricing improvement	+20 to +30	Yes	Grade mix shift; not broad ASP increase
Labour Code one-time charge	-3 to -5	No	Rs. 0.65 Cr gratuity/leave — one-time, non-recurring

Concall Section 6 — Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
FY27 Revenue Growth	>20%	>20% (reiterated)	Maintained	High
FY27 EBITDA Margin	16-18%	16.5-18% (FY27-FY28)	Maintained	Medium-High
FY28 EBITDA Margin	N/A	~18% as VA mix improves	New target	Medium
New Capacity Revenue	Rs. 250-270 Cr	Rs. 250-270 Cr (FY27)	Maintained	Medium
Export Mix	>30%	>30% maintained	Maintained	High

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
Net Debt Peak	FY27	FY27 (Rs. 10-20 Cr rise)	Maintained	High
Seamless Utilization	~80% in FY27	~80% in FY27	Maintained	High

Concall Section 7 — Capital Allocation

Item	Amount (Rs. Cr)	vs Prior Year	Comment
Total Capex (FY25)	~Rs. 114 Cr (CF)	Higher vs FY24 Rs. 100 Cr	Seamless expansion + fittings plant
Planned Capex (FY26)	~Rs. 90-100 Cr	Moderating	Completing fittings + VA welded
Dividends (FY25)	Rs. ~2 Cr	Rs. 1/share declared	Nominal; growth-reinvestment phase
Buybacks	None	None	No buyback announced
Working Capital Change	Increased	Inventory up Rs. 80 Cr+	Export pipeline and higher RM costs
Net Debt (Mar-25)	Rs. 192 Cr	+Rs. 43 Cr from FY24	Within guided trajectory; D/E 0.36x
Net Debt (Dec-25 est.)	~Rs. 260 Cr	+Rs. 68 Cr from FY25	Capex peak; expected to moderate FY27+

Concall Section 8 — Q&A; Heat Map (Q3 FY26)

#	Question	Management Answer	Tone
1	What is the outlook for US exports after Section 232 uncertainty?	US orders declined in Q2-Q3 due to tariff uncertainty. Expect recovery as clarity emerges. Europe remains strong at 60-65% of exports.	Hedged
2	When will fittings plant and condenser capacity be fully operational?	Value-added welded (condenser, BA tubing) commissioned; fittings by March 2026. Full utilization expected in FY27 at ~70-80%.	Transparent
3	What is the power sector opportunity and Venus's share?	Rs. 6,000 Cr over 4-5 years across power equipment makers. Venus holds 15-20% in recent tenders. Nuclear approvals take 3-5 years but create strong entry barriers.	Bullish
4	Can the company maintain >16% margins given raw material inflation?	RM prices managed through grade mix and pricing adjustments. Employee costs are one-time in nature and will normalise. Margins expected to improve to 18% by FY28.	Hedged
5	What is the debt trajectory and free cash flow outlook?	Debt may increase Rs. 10-20 Cr in Q4 FY26. Expected to peak in FY27 and moderate thereafter as new capacities generate cash. FCF turns positive in FY27.	Transparent
6	What is the export order book composition?	Order book at Rs. 470 Cr: 30% exports, 70% domestic. Execution in 6-7 months. Power sector dominates domestic book.	Transparent

Dodged questions to watch next quarter: Specific nuclear approval timelines; exact US tariff impact in Rs. Cr; fittings plant capital cost and expected IRR.

Concall Section 9 — Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline
US tariff uncertainty	Management	Medium	Medium	Q4 FY26 — policy clarity expected
Raw material price volatility	Analysts	Medium	High	Ongoing — monitor monthly
Nuclear approval delays (3-5 yrs)	Management	Medium	Low-Med	Long-term — FY28+ revenue driver
CBAM emission calculations	Management	Low	Low	EU regulation — FY26-FY27 preparation
Employee cost normalisation	Analysts	Low	Medium	FY26-FY27 as revenues scale up
Capacity ramp-up timing	Analysts	Low-Med	Medium	Q4 FY26 commissioning completion

Concall Section 10 — Analyst Verdict & Multi-Bagger Scorecard

Multi-Bagger Factor	Status	Comment
Revenue Visibility	INTACT	Order book Rs. 470 Cr (6-7 month coverage); >20% FY27 growth guided
Margin Trajectory	INTACT	EBITDA stable at 16-17%; improving to 18% by FY28 as VA mix rises
Capital Allocation Quality	INTACT	Capex into high-return value-added products; ROCE 25%; debt controlled

Multi-Bagger Factor	Status	Comment
Competitive Moat	INTACT	Power sector approvals, Fortune 500 exports, backward integration
Management Credibility	INTACT	Consistent execution vs guided targets; transparent concall commentary
Valuation Comfort	INTACT	Trading at 28x FwdPE — fair but not cheap; PEG of 0.68 suggests value

Conviction Call	Valuation Snapshot
UNCHANGED — ACCUMULATE Rs. 1,350-1,450 entry zone Rs. 1,750 target (12 months)	P/E (TTM): 29.3x FwdPE: 28.8x EV/EBITDA: 15.9x ROCE: 25% vs 10-Yr avg: 31.4% PEG: 0.68 (below 1 = growth at fair value)

Source: Screener.in | Ticker: VENUSPIPES | View: Standalone | Concall: Q3 FY26 (Oct-Dec 2025) | Concall Date: 05-Feb-2026 | Transcript: Available via Sovrenn/Screener AI Summary | Report Date: 07-May-2026 | Analyst: Chartitude Research | DISCLAIMER: This report is for informational purposes only. Not investment advice.